YG Entertainment (122870 KS)

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3Q26 preview: likely meets consensus

3Q26 revenue estimated to have declined 2.2% YoY, OP 34.1% YoY

We estimate 3Q26 revenue at W169.2bn (-2.2% YoY) and OP at W20.5bn (-34.1% YoY), broadly in line with consensus of W164.5bn and W20.1bn, respectively. The absence of new album releases likely led to a modest YoY decline in revenue, while increased live concert activity likely drove sharp QoQ profit growth.

[Albums/digital music] Total album sales are estimated at approximately 170,000 copies, including 87,000 from TREASURE (fourth mini album and back catalog), 75,000 from BABYMONSTER (third mini album and back catalog), and 10,000 from BLACKPINK's back catalog. While album sales likely fell YoY, digital music revenue is estimated to have grown YoY, supported by successful digital singles from BIGBANG and BABYMONSTER.

[Concerts/merchandise] Total concert attendance is estimated at approximately 800,000 across 18 TREASURE shows, 14 BABYMONSTER shows, and eight BIGBANG shows. Successful tours likely supported solid results. However, a greater contribution from more established artists likely limited profit improvement.

Core fandom expansion, new artist momentum to lift share price floor

Although a contraction in the firm's top line seems inevitable next year, "unfavorable supply/demand issues," which widened the annual share price drawdown, should turn around, with improved company-wide profitability from a higher revenue share of junior artists and debut momentum from new artist IP (one boyband and one girl group) expected to lift the share price floor.

Back-catalog album sales are currently being confirmed for both of its flagship artist IPs, TREASURE and BABYMONSTER. As such, we expect strong operating leverage (concerts and merchandise) from the expansion of their core fandom. Moreover, YG Entertainment will likely raise its earnings floor by launching one new IP in both 1H27 and 2H27, reducing the reliance on specific IPs.

Maintain BUY and target price of W56,000

We maintain BUY and our target price of W56,000. There is room for upward revisions to our estimate depending on the initial performance of the new IPs. In addition, as the contraction in earnings and supply/demand pressure have already been priced in, we believe the stock is attractively priced at the current level.

BUY (M)

Target price	W56,000 (M)
Previous target price	W56,000
Current price (Oct 19)	W43,600
Upside potential	28%

Market cap (Wbn)	815
Shares outstanding	18,691,049
Avg daily T/O (2M, Wbn)	5
Avg daily volume (2M, shrs)	117,889
52-week high/low (won)	94,900 / 37,050
Foreign ownership (%)	8.87%
Dividend yield (%)	0.43%
Major shareholders	Hyeon-seok Ryang & others

Stock performance

(%)	1M	3M	12M
Absolute	(0.6)	8.5	(51.6)
Relative	1.7	6.2	(48.5)
Abs (US$)	3.4	20.7	(48.2)

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	169	-2.2	32.5	164	2.9
OP	20	-34.2	86.6	20	1.8
Pre-tax net profit	21	-42.7	93.0	24	-13.4
Net profit, CI	15	-13.0	174.5	16	-9.5
OPM (%)	12.1	-5.9 %pt	+3.5 %pt	12.2	-0.1 %pt
NPM (%)	8.7	-1.1 %pt	+4.5 %pt	9.9	-1.2 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	365	545	658	607
OP	-21	71	75	73
Net profit, CI	19	37	43	49
P/E (x)	41.6	38.1	19.0	16.5
P/B (x)	1.6	2.7	1.4	1.3
EV/EBITDA (x)	63.6	15.5	7.2	7.2
ROE (%)	3.9	7.4	8.0	8.4

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

YG Entertainment album release schedule

Artist IP	1Q26	2Q26	3Q26	4Q26
BIGBANG	—	—	Pre-release single (Aug 19)	20th anniversary album (TBD)
BLACKPINK	Third mini album (Feb 27)	—	—	—
TREASURE	—	Fourth mini album (Jun 1)	—	Digital single (Nov 2)
BABYMONSTER	—	Third mini album (May 4)	—	Digital single (Oct 23)

Source: Yuanta Securities

YG Entertainment live event schedule

Artist IP	1Q26	2Q26	3Q26	4Q26
BIGBANG	—	—	World tour: 8 shows / 380k attendees	World tour: 24 shows / 1,000k attendees
BLACKPINK	Asia tour: 6 shows / 300k attendees	—	—	—
TREASURE	Asia tour: 6 shows / 130k attendees	Asia tour: 10 shows / 115k attendees	Asia tour: 18 shows / 220k attendees	—
BABYMONSTER	Asia fan concert: 2 shows / 21k attendees	Korea: 3 shows / 15k attendees	Japan: 14 shows / 200k attendees	Asia tour: 11 shows / 110k attendees

Source: Yuanta Securities

YG Entertainment: earnings forecast **(Wbn)**

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E	2027E
Sales	100	100	173	172	147	128	169	214	545	658	607
YoY (%)	14.7%	11.6%	107.2%	65.1%	46.9%	27.2%	-2.2%	24.3%	49.4%	20.6%	-7.7%
Album/DVD	6	2	12	9	25	19	2	21	29	67	60
Digital content	16	20	20	20	20	23	21	23	76	87	91
Goods (others)	26	19	28	24	21	28	32	33	98	114	115
Concert	8	9	51	59	31	9	62	77	126	179	130
Advertisement	5	5	9	9	7	4	4	4	28	19	22
Royalty	4	9	16	16	12	3	10	16	45	41	26
Appearance fee	3	4	5	2	1	2	2	2	13	7	10
Music service	22	22	21	22	21	23	23	24	87	91	95
Others	11	10	11	12	11	16	13	14	44	54	58
OP	10	8	31	22	19	11	21	24	71	75	73
YoY (%)	TTB	TTB	TTB	2144.7%	103.7%	31.2%	-34.1%	9.4%	TTB	5.6%	-2.9%
OPM (%)	9.5%	8.3%	18.0%	13.0%	13.2%	8.6%	12.1%	11.4%	13.1%	11.5%	12.0%

Note: TTB = turn to black
Source: Yuanta Securities

YG Entertainment (122870 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**365**	**545**	**658**	**607**	**667**
Cost of sales	265	359	437	402	436
Gross profit	99	187	221	205	231
SG&A	118	134	155	143	155
Operating profit	**-21**	**71**	**75**	**73**	**86**
EBITDA	11	82	96	87	98
Non-operating profit	49	4	-1	3	5
Forex gains	2	2	6	5	6
Net interest income	5	5	6	8	10
Equity-method gains	23	0	-2	-3	-3
Other	20	-3	-12	-7	-7
Net prof before income tax	29	75	74	76	92
Income tax	9	21	22	19	22
Net profit from continuing ops	20	54	52	58	70
Net profit from discontinued ops	0	0	0	0	0
Net profit	20	54	52	58	70
NP for controlling interest	**19**	**37**	**43**	**49**	**59**
Total comprehensive income	23	50	59	68	79
Total comprehensive income, CI	22	34	43	53	62

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**303**	**446**	**532**	**560**	**656**
Cash & cash equivalents	87	168	186	257	329
Accounts receivables & other	89	119	188	155	174
Inventory	10	21	26	21	24
Non-current assets	431	393	461	447	447
Tangible assets	188	175	179	174	170
Investment in affiliates	50	44	68	65	71
Other investment assets	133	120	174	174	174
Total assets	**734**	**839**	**993**	**1,007**	**1,103**
Current liabilities	110	171	266	219	240
Accounts payable & other	89	122	218	179	197
ST financial liabilities	0	0	0	0	0
Liquid LT liabilities	1	1	1	1	1
Non-current liabilities	21	17	23	22	22
LT financial liabilities	7	6	6	6	6
Debentures	0	0	0	0	0
Total liabilities	**131**	**188**	**289**	**241**	**262**
Equity, controlling interest	483	514	560	613	676
Paid-in capital	10	10	10	10	10
Capital surplus	227	227	227	227	227
Retained earnings	229	258	296	340	393
Equity, non-controlling interest	120	137	145	154	164
Total equity	**603**	**651**	**705**	**766**	**840**
Net debt	**-169**	**-269**	**-266**	**-338**	**-410**
Total debt	25	18	24	23	24

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**0**	**91**	**14**	**100**	**64**
Net profit	20	54	52	58	70
Depreciation & amortization	15	14	14	14	13
Forex gains	0	-1	-3	-5	-6
Affiliate investment gains	0	0	2	3	3
Increase in net working cap	-20	11	-79	-3	-48
Other	-14	14	29	33	31
Investing cash flow	**1**	**3**	**-64**	**-8**	**-18**
Investment	24	9	-21	3	-6
Increase in tangible assets	-7	-6	-10	-8	-10
Decrease in tangible assets	2	1	0	0	0
Other	-18	0	-33	-2	-1
Financing cash flow	**-12**	**-12**	**-8**	**-7**	**-5**
ST financial liabilities	2	-1	2	-1	1
Debenture/LT financial liabilities	5	-5	5	0	0
Equity	0	0	0	0	0
Cash dividend	-6	-5	-7	-6	-6
Other cash flow	-13	-1	-8	0	0
Consolidation adj and other	1	-1	76	-15	31
Increase in cash & equivalents	**-10**	**82**	**18**	**71**	**73**
Beginning cash & equivalents	97	87	168	186	257
Ending cash & equivalents	87	168	186	257	329
NOPLAT	-21	71	**75**	**73**	**86**
FCF	**-7**	**85**	**4**	**92**	**54**

Valuation

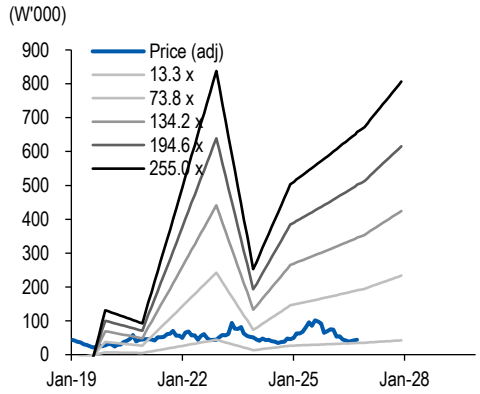
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	991	1,974	2,297	2,637	3,164
BPS (won)	26,050	27,689	30,174	33,045	36,447
EBITDA/shr (won)	607	4,407	5,126	4,676	5,224
SPS (won)	19,526	29,180	35,188	32,496	35,680
DPS (won)	250	300	300	300	300
P/E (x)	**41.6**	**38.1**	**19.0**	**16.5**	**13.8**
P/B (x)	**1.6**	**2.7**	**1.4**	**1.3**	**1.2**
EV/EBITDA (x)	**63.6**	**15.5**	**7.2**	**7.2**	**5.8**
P/S (x)	**2.1**	**2.6**	**1.2**	**1.3**	**1.2**

Key financial data

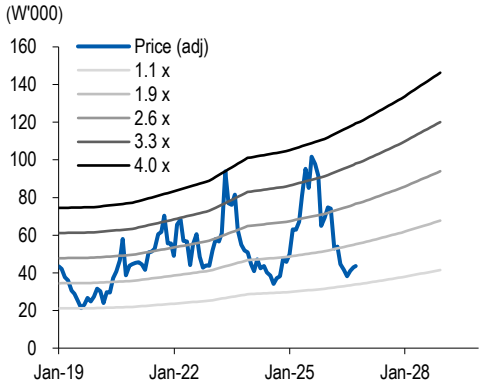
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**-35.9**	**49.4**	**20.6**	**-7.7**	**9.8**
Operating profit (%YoY)	**TTR**	**TTB**	**5.5**	**-2.8**	**17.9**
Net profit, CI (%YoY)	**-69.8**	**99.3**	**16.4**	**14.8**	**20.0**
Gross margin (%)	27.3	34.2	33.6	33.8	34.6
Operating margin (%)	**-5.6**	**13.1**	**11.4**	**12.0**	**12.9**
Net margin, CI (%)	5.1	6.8	6.5	8.1	8.9
EBITDA margin (%)	3.1	15.1	14.6	14.4	14.6
ROIC (%)	-6.3	22.9	28.0	30.5	37.4
ROA (%)	2.5	4.7	4.7	4.9	5.6
ROE (%)	**3.9**	**7.4**	**8.0**	**8.4**	**9.2**
Debt-to-equity (%)	21.7	28.9	41.0	31.4	31.2
Net debt-to-equity (%)	-34.9	-52.3	-47.5	-55.1	-60.6
OP/financing cost (x)	-22.3	89.9	148.5	135.9	162.4

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

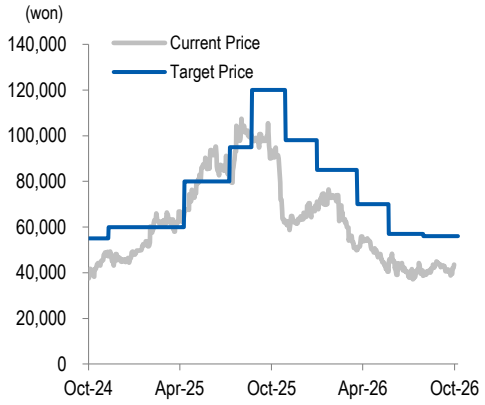
P/E band chart



P/B band chart



YG Entertainment (122870 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/20	BUY	56,000	1 yr		
2026/08/19	BUY	56,000	1 yr		
2026/06/11	BUY	57,000	1 yr	-26.87	-15.26
2026/04/09	BUY	70,000	1 yr	-29.38	-20.14
2026/01/19	BUY	85,000	1 yr	-23.09	-10.00
2025/11/17	BUY	98,000	1 yr	-34.52	-28.16
2025/09/11	BUY	120,000	1 yr	-24.52	-12.08
2025/07/29	BUY	95,000	1 yr	2.55	13.05
2025/04/29	BUY	80,000	1 yr	4.27	19.00

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 20, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
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  - Neutral: Investment weighting is equal to the market capitalization weighting
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